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Sandisk Corp (SNDK.O)

Significant Beat & Raise; Data Center Momentum Accelerates; New Agreements Reduce Cyclical; Maintain Buy

CITI'S TAKE

March quarter results significantly beat driven by better product mix, accelerating enterprise SSD deployments, and favorable market demand dynamics. Data center was the standout (+295%y/y) as enterprise SSD demand accelerates as AI workloads scale. Management also highlighted five signed New Business Model agreements (three in 3Q, two in 4Q) that meaningfully improve visibility (\$42bn minimum RPO and \$11bn financial guarantees) with one-third of FY27 bits under contract. The financial targets for these deals remain consistent with the company's 4Q guidance, and help to manage demand cyclical with favorable economics. The company also announced a \$6bln share authorization. We remain constructive on SNDK shares given favorable NAND supply/demand, continued BiCS8 execution, strong FCF generation with share buybacks, while recent deals and guarantees should reduce downside cyclical. We raise estimates, maintain Buy, and lift our target price to \$1,300 (7-8x P/E vs 9x as peer group multiples have moderated).

Fundamentals – Sandisk reported March quarter revenue of \$5.95B (+97% qq, +251% yy) and EPS of \$23.41. This compares with guidance range of revenues \$4.4B–\$4.8B, and EPS range \$12.00–\$14.00 and vs Street (FactSet) expectations of \$4.69B and \$14.43, respectively. Gross margins of 78.4% vs. guidance range of 65%–67% and Street at 66.3%. Operating margins of 70.9% vs. Street at 56.9%.

Guidance – F4Q26 (ending June) sales outlook of \$7.75B–\$8.25B vs. Street at \$6.38B. Gross margin range of 79%–81% vs. Street at 70.9%, EPS of \$30.00–\$33.00 vs. Street at \$22.26.

Please see below for management commentary.

EPS (US\$)	Q1	Q2	Q3	Q4	FY	FC Cons
2025A	1.81A	0.99A	-0.30A	0.29A	2.79A	2.99A
2026E	1.21A	6.20A	23.41A	32.54E	64.29E	45.50E
Previous	1.21A	6.20A	13.97E	24.79E	46.74E	na
2027E	43.66E	55.01E	41.42E	42.16E	182.26E	117.81E
Previous	32.12E	33.85E	26.93E	27.43E	120.33E	na
2028E	40.55E	40.84E	35.78E	37.97E	155.13E	119.01E
Previous	27.28E	25.60E	22.00E	23.63E	98.51E	na

Source: Company Reports and dataCentral, Citi Research. FC Cons: First Call Consensus.

Buy

Short-Term View: Upside, expires 17-JUN-26

Price (30 Apr 26 16:00) US\$1,096.51

Target price US\$1,300.00↑

from US\$980.00

Expected share price return 18.6%

Expected dividend yield 0.0%

Expected total return 18.6%

Market Cap US\$161,846M

Price Performance

(RIC: SNDK.O, BB: SNDK US)



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Management positioned the recent agreements signed (three signed New Business Model agreements in 3Q, two more in 4Q) as the mechanism to lock in better economics and reduce volatility to drive sustainable growth in their business. They address the following as key reasons:

- Driving fair value economics: Ensuring their products are priced at fair value, and indicated the company will continue pushing for stronger economics even if that implies margins above ~80% in certain structures.
- Reduce/eliminate cyclicalities: Making performance more predictable by using a portfolio of agreements with staggered expirations and downside protection (guaranteed payments/penalties) that backstop economics and demand.
- Drive towards end-state of a financially attractive P&L with high margin products and consistent QoQ revenue streams that then grow over time.

Financial targets embedded in the five signed NBM agreements are intended to be consistent with the company's 4Q outlook, reinforcing that the contracts are structured to lock in economics at levels comparable to current guidance rather than a materially lower through-cycle construct.

The NBM agreements vary by customer and can span bits/raw NAND and/or finished goods, with the product, mix, and volume cadence defined inside the contract. Deals signed to date are broad-based across segments and counterparties, with data center having larger volume profiles and remaining the most strategic end market over time given its profitability potential.

The \$42bln RPO is the contractual revenue (accounts for the first 3 delays in 3Q) utilizing minimum pricing assumptions embedded in the agreements, while the \$11bln (accounts for all 5 deals) financial guarantees represent a separate incentive that provide a financial reason for customers to stay in the contract.

NBM pricing mechanics blend fixed and variable components, with pricing generally more fixed nearer term and more variable further out, designed to preserve upside participation if prices rise while allowing customers some benefit if prices decline. NBMs now accounts for over one-third of FY27 bits already contracted. The agreement set is being built as a portfolio across varying lengths (up to five years) with the ability to extend.

Strong 3Q cash generation supports the newly authorized \$6bn repurchase program, which is effective immediately with no expiration, with execution updates expected as the program ramps. The company continues to invest in strengthening the business/supply chain with the debt elimination already complete.

Figure 1. SNDK Actual vs Estimates & Street; Estimate Changes

(in \$ millions, except for %, ASP, and EPS)	Q3-26				Q4-26E				2026E			2027E		
	Mar-26				Jun-26				FY			FY		
	Act	Prior	Street	Guidance	Citi	Prior	Street	Guidance	Citi	Prior	Street	Citi	Prior	Street
Bit growth q/q	(19.0%)	(4.8%)			15.0%	5.0%			16.1%	22.7%		25.2%	17.5%	
ASP/GB qq	142.8%	60.0%			18.0%	40.0%			126.7%	85.2%		81.7%	73.6%	
Total Revenue	5,950	4,608	4,686	4400-4800	8,074	6,773	6,377	7750-8250	19,357	16,714	16,197	44,039	34,095	30,434
Change Q/Q	96.7%	52.3%			35.7%	47.0%								
Change Y/Y	251.0%	171.8%			324.7%	256.3%			163.2%	127.2%		127.5%	104.0%	
GM w/charges	78.4%	66.0%	66.3%	65-67%	80.0%	75.0%	70.9%	79-81%	69.0%	62.0%	59.2%	81.6%	73.1%	70.4%
Opex	448	461	442	450-470	497	525	342	480-500	1,804	1,844	1,680	2,126	2,441	1,403
Operating Income	4,218	2,580	2,666		5,963	4,555	4,179		11,559	8,514	7,913	33,814	22,487	20,016
Operating Margin	70.9%	56.0%	56.9%		73.9%	67.3%	65.5%		59.7%	50.9%	48.9%	76.8%	66.0%	65.8%
Pretax Income	4,215	2,550	2,557		5,979	4,525	3,987		11,496	8,378	7,646	33,878	22,367	19,518
Provision for Income Taxes	540	357	363	325-375	837	634	694	775-875	1,531	1,145	1,135	5,082	3,355	3,250
Tax rate	12.8%	14.0%	14.2%		14.0%	14.0%	17.4%		13.3%	13.7%	14.8%	15.0%	15.0%	16.7%
Net Income	3,675	2,193	2,244		5,142	3,892	3,466		9,965	7,233	6,691	28,796	19,012	16,809
EPS - PF Diluted	\$23.41	\$13.97	\$ 14.43	\$12.00-\$14.00	\$32.54	\$24.79	\$ 22.26	30-33	\$64.29	\$46.74	\$ 43.52	\$182.26	\$120.33	\$ 111.01

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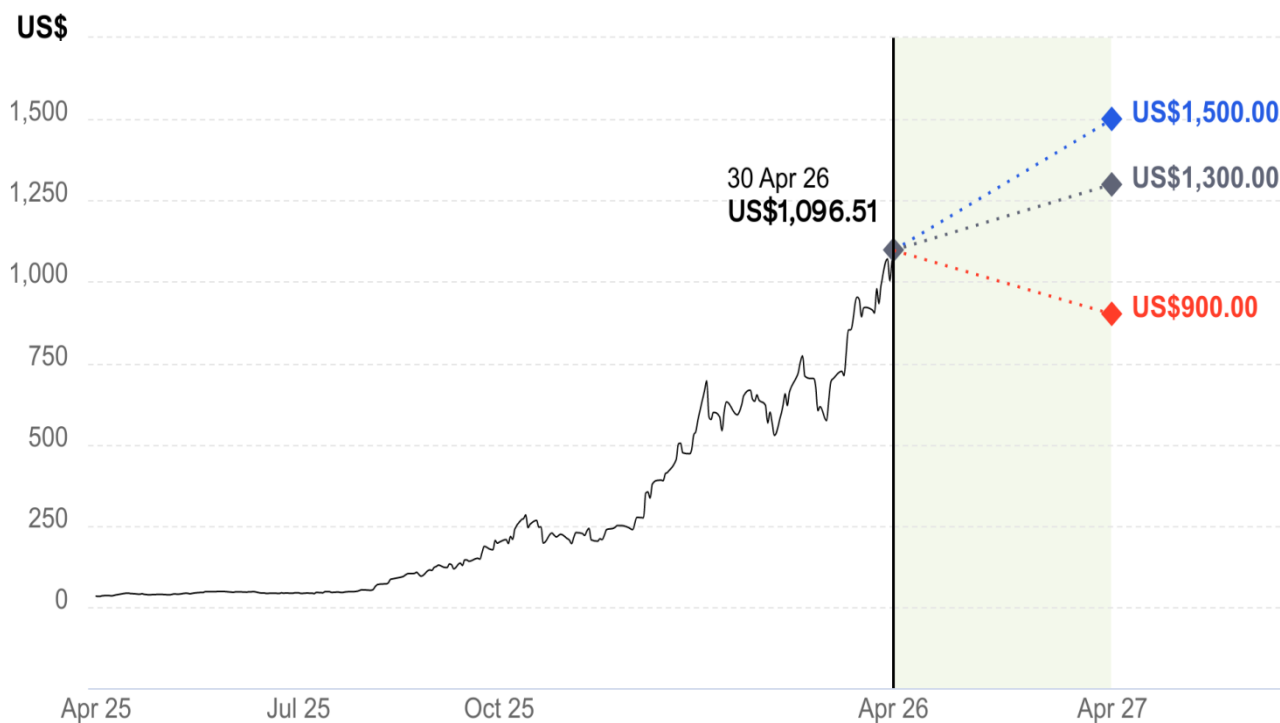
Source: Citi Research, FactSet, Company Reports

Bull/Bear: Sandisk Corp (SNDK.O)

US\$1,500.00
▲ 37% Upside

US\$1,300.00
▲ 19% Upside

US\$900.00
▼ 18% Downside



Spread 55pp
Current Price and expected returns (upside/downside) as of 30 Apr 2026



BULL Assumptions

- Bull case assumes higher EB growth and improved EB pricing environment.



BASE Assumptions

- Base case as presented in current financial model.



BEAR Assumptions

- Bear case assumes lower EB growth and degraded EB pricing environment.

Sandisk Corp

Company description

Sandisk is a global data storage supplier of NAND flash solutions, including SSDs, memory cards, USB sticks, portable drives, and automotive. For Client customers, the company offers SSDs for the PC, mobile, gaming, automotive, VR, at-home entertainment, and industrial spaces. The company is primarily focused on increasing its share in Enterprise, targeting the Cloud and Data Center segment. The company also leverages its strong brand name to the Consumer end-market for retail and other end-user products, including memory cards, USB sticks, and portable drives. Sandisk was founded in 1988, was then owned by Western Digital from 2016 until its spinout in Feb 2025, and is headquartered in Milpitas, CA. Sandisk's long-standing flash production JV with Kioxia began in 2000 and is signed through 2034. The partnership provides for a steady supply of NAND flash, with each company a co-owner of the production facilities with an ownership split of 51% (Kioxia)/49% (SNDK).

Investment strategy

We rate Sandisk shares Buy as the company focuses on gaining share in the growing Enterprise SSD segment amidst a highly favorable S/D environment expected to persist through CY27, with limited cleanroom capacity situation supportive of pricing, plus durable underlying datacenter demand, coupled with its Bics8 qualifications serving as a competitive moat, and with ongoing mix to datacenter further benefiting margins longer-term. However, we remain prudently cautious on the potential for elevated price competition between key players during the process, particularly from Chinese players who remain aggressive on gaining share, and where currently underutilized industry capacity can very quickly reverse to oversupply within a small window, making the ideal conditions of price increases short-lived.

Valuation

Sandisk's peer set historically trades at (FactSet) median 3-4x EV/sales, and 9-10x P/E. Our target price for SNDK is \$1300, where we value shares at 7-8x CY27 EPS, vs its closest competitor, Kioxia with median of 7x, as well as the larger peer group at 6-7x P/E. We note most peers have DRAM exposure while SNDK does not. That said, we note Sandisk additionally has an estimated \$15-20B in invested capital (replacement cost) within the JV that is not reflected in the company's financials.

Risks

Downside risks that could impede SNDK share price from reaching our target price include: 1) Sandisk's efforts to increase its share in the Enterprise taking longer than expected; 2) macro environment deteriorating and impacting datacenter spend, PC refresh, or AI-PC uptake; and 3) supply-demand imbalances or pricing competition causing volatile pricing fluctuations and significantly impacting margins.

When considering Citi's Quantative Risk Rating criteria, we do not rate SNDK

shares as High Risk given Sandisk was already previously a publicly traded company and was simply spun out of Western Digital rather than as a new IPO. And though it operates in a cyclical industry, Sandisk continues to be a successful, going concern with a reputable brand, IP assets, and an established JV.

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Appendix A-1

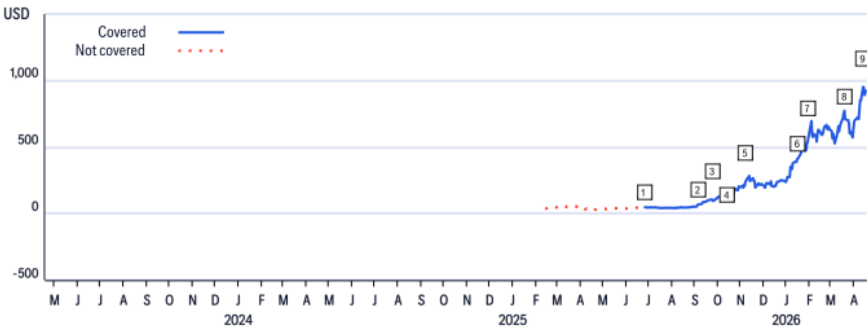
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Sandisk Corp (SNDK)
Ratings and Target Price History
Fundamental Research

Analyst: Asiya Merchant, CFA



	Date	Rating	Target Price	Closing Price
1	26-Jun-25 04:00:00	*1	*\$7.00	47.44
2	07-Sep-25 21:24:48	1	*\$0.00	68.55
3	24-Sep-25 04:00:00	1	*\$125.00	99.83

	Date	Rating	Target Price	Closing Price
4	13-Oct-25 00:10:56	1	*\$150.00	134.61
5	07-Nov-25 00:50:25	1	*\$280.00	239.48
6	19-Jan-26 19:00:00	1	*\$490.00	413.62

	Date	Rating	Target Price	Closing Price
7	30-Jan-26 06:41:51	1	*\$750.00	576.25
8	19-Mar-26 06:19:51	1	*\$875.00	772.09
9	13-Apr-26 03:59:36	1	*\$980.00	952.50

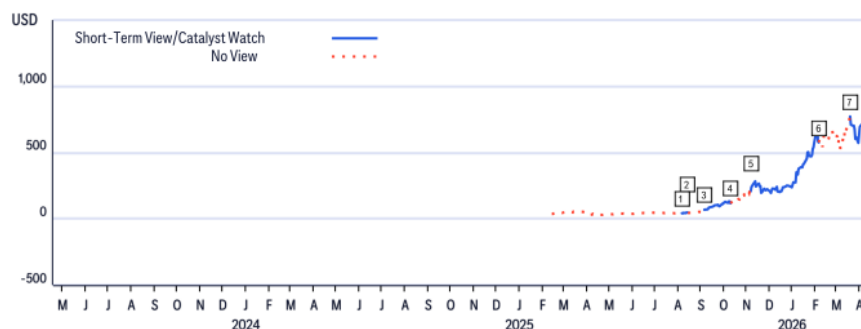
*Indicates Change

Rating/target price changes above reflect Eastern Time

Sandisk Corp (SNDK)

Short-Term View/Catalyst Watch Research

Analyst: Asiya Merchant, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	06-Aug-25 13:53:54	Add STV	Upside	90 Days	42.10
2	14-Aug-25 22:45:08	Remove STV	Upside	90 Days	46.68
3	07-Sep-25 17:24:48	Add STV	Upside	90 Days	68.55
4	12-Oct-25 20:10:56	Remove STV	Upside	90 Days	116.91
5	06-Nov-25 19:50:25	Add STV	Upside	90 Days	207.69
6	05-Feb-26 11:27:43	Remove STV	Upside	90 Days	576.20
7	19-Mar-26 02:19:51	Add STV	Upside	90 Days	772.09

CW - Catalyst Watch, STV - Short-Term View

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